

PAI 700: Behavioral Public Policy

Class Meetings

Tu/Th 3:30-4:50 pm

Location

Whitman School of Management Building, Room 301

Instructor

Leonard M. Lopoo, PhD

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Office hours: Mondays from 3:00-4:00 pm, and by appointment

Teaching Assistant

Ashraf Haque

Office 229 Eggers Hall

Office Hours: Wednesday from 2:00-3:30

Class materials are located on Blackboard: <http://blackboard.syr.edu>.

Course Description

Policies are frequently designed assuming a rational target audience; however, most people do not fit this assumption. This course examines how insights from behavioral economics and psychology can improve public policy design and implementation.

Students will explore cognitive biases, decision-making heuristics, and choice architecture while developing practical skills in applying behavioral principles to real-world policy challenges. It also focuses on evaluating these behavioral public policies.

Prerequisite

PAI 721 and PAI 723 or PHP 665 or permission of the instructor

Learning Objectives

1. Demonstrate knowledge of behavioral theories of decision-making under uncertainty.
2. Analyze empirical findings from research literature on behavioral public policy.
3. Communicate complex behavioral insights to diverse audiences, including policymakers and the general public.
4. Design and evaluate behavioral policies in a real-world application.

Required texts:

1. Centers for Disease Control and Prevention. 2018. Health Communication Playbook. Department of Health and Human Services. (HCP) Available [online](#).
2. National Academies of Science, Engineering, and Medicine. 2023. *Behavioral Economics: Policy Impact and Future Directions* (NAS). Available [online](#).
3. Kahneman, Daniel. 2011. *Thinking Fast and Slow*. New York: Farrar, Straus, and Giroux.
4. Thaler, Richard H. and Cass R. Sunstein. 2021. *Nudge: The Final Edition*. Yale University Press.

Course Requirements and Expectations

Students are expected to read all required materials for this course. Grades will be based on five separate requirements:

1. Participation in case studies and group presentations (10 percent)
2. Midterm exam (30 percent)
3. Messaging campaign (15 percent)
4. Written policy brief or opinion piece for popular audiences (15 percent)
5. Group behavioral public policy project and presentation (40 points; 15 points presentation and 25 points written report)

After we have covered the toolbox, we will make more use of cases. For cases, which will be highlighted in light blue in the reading list, we will have in-depth conversations about the articles/reports. Students are expected to have read these cases thoroughly and contribute to class discussions.

AI Use on Course Requirements

Artificial intelligence tools may be used in certain assignments but not others. Please follow the guidelines below. Check with me if you have any questions.

Midterm exam

This exam will cover the content from the “toolkit” portion of the class (Topics I-VII). This will be a paper-exam without access to electronic devices (AI prohibited in all circumstances).

Messaging campaign

I will provide you with a policy scenario and ask you to design a behaviorally-informed messaging campaign, which includes theoretical justification for the messages. (AI allowed and encouraged with sufficient prompting. AI use must be acknowledged).

Communication Assignment

Effective policy professionals are comfortable using language for technical and lay audiences. Students will be asked to find a behavioral research article in their chosen

field, e.g., education, public health, tax policy, environmental policy, and create a public communication that explains the findings from that article clearly and simply for a lay audience.

Students have the following options for that communication:

1. Data Visualization
2. Fact sheet
3. Opinion piece for a major media outlet
4. Policy brief

(AI is allowed with appropriate attribution).

Behavioral public policy project

Students will be assigned to teams randomly and will be given a substantive policy area (e.g., education, public health, tax, social welfare) and/or problem. The team should complete a literature review of the behavioral literature on the topic and identify a policy question in that field, if not given a specific one. Next, the team should design an intervention and evaluation strategy for the topic. Each group writes submit a report (no more than 25 pages; 12 – point font; one-inch borders; Times New Roman font, inclusive of references, diagrams, and figures) that identifies the issue, describes the relevant literature, discusses a potential behavioral solution to the issue, explains why that solution might work, and provides an evaluation plan, including details of the target population, sample sizes, and method to determine if the proposed solution works.

AI may be used to identify the relevant literature and ideas for the topic. AI can also be used to edit the paper. All substantive content – including the literature and policy design must be your original work.

Grading Table

Grade	Percentage Range
A	94-100
A-	88-93
B+	83-87
B	78-82
B-	72-77
C+	68-71
C	64-67
C-	60-63
F	59 or less

Academic Integrity

As a pre-eminent and inclusive student-focused research institution, Syracuse University considers academic integrity at the forefront of learning, serving as a core value and guiding pillar of education. Syracuse University's Academic Integrity Policy provides students with the necessary guidelines to complete academic work with integrity throughout their studies. Students are required to uphold both course-specific and university-wide academic integrity expectations such as crediting your sources, doing your own work, communicating honestly, and supporting academic integrity. The full [Syracuse University Academic Integrity Policy](#) can be viewed by visiting the [Syracuse University Policies website](#).

Upholding Academic Integrity includes the protection of faculty's intellectual property. Students should not upload, distribute, or share instructors' course materials, including presentations, assignments, exams, or other evaluative materials without permission. Using websites that charge fees or require uploading of course material (e.g., Chegg, Course Hero) to obtain exam solutions or assignments completed by others, which are then presented as your own violates academic integrity expectations in this course and may be classified as a Level 3 violation. All academic integrity expectations that apply to in-person assignments, quizzes, and exams also apply online.

Students found in violation of the policy are subject to grade sanctions determined by the course instructor and non-grade sanctions determined by the School or College where the course is offered. Students may not drop or withdraw from courses in which they face a suspected violation. Any established violation in this course may result in course failure regardless of violation level.

Based on the specific learning outcomes and assignments in this course, artificial intelligence is permitted on the following: Nudge messaging assignments and editing your behavioral public policy paper. See each assignment, quiz, or exam instructions for more information about what artificial intelligence tools are permitted and to what extent, as well as citation requirements. If no instructions are provided for a specific assignment, then no use of any artificial intelligence tool is permitted. Any AI use beyond that which is detailed in course assignments is explicitly prohibited except when documented permission is granted.

Health and Wellness Considerations

Well-being and mental health are significant predictors of academic success. It is critical to take care of yourself physically and emotionally and to effectively navigate stress, anxiety, and depression. Please familiarize yourself with the range of resources the Barnes Center provides (<https://ese.syr.edu/bewell/>) and seek out support for mental health concerns as needed. Counseling services are available 24/7, 365 days, at 315-443-8000.

Accommodations

Syracuse University values access and inclusion; we are committed to a climate of mutual respect and full participation. There may be aspects of the instruction or design of this course that result in barriers to your inclusion and full participation in this course. I invite any student to contact me to discuss strategies and/or accommodations (academic adjustments) that may be necessary to ensure equitable access, and to collaborate with the Center for Disability Resources (CDR) in this process. If you would like to discuss disability-related accommodations or register with CDR, please visit [Center for Disability Resources](#). Please call (315) 443-4498 or email CDRspecialist@syr.edu for more detailed information.

CDR is responsible for coordinating disability-related academic accommodations and will work with the student to develop an access plan. Since academic accommodations are generally not provided retroactively, please contact CDR as soon as possible to initiate this process.

Faith Tradition Observances

[Syracuse University's Religious Observances Policy](#) recognizes the diversity of faiths represented in the campus community and protects the rights of students, faculty, and staff to observe religious holy days according to their traditions. Under the policy, students are given an opportunity to make up any examination, study, or work requirements that may be missed due to a religious observance, provided they notify their instructors no later than the academic drop deadline. For observances occurring before the drop deadline, notification is required at least two academic days in advance. Students may enter their observances in MySlice under Student Services/Enrollment/My Religious Observances/Add a Notification.

Discrimination or Harassment

The University does not discriminate and prohibits harassment or discrimination related to any protected category including creed, ethnicity, citizenship, sexual orientation, national origin, sex, gender, pregnancy, reproductive health decisions, disability, marital status, political or social affiliation, age, race, color, veteran status, military status, religion, sexual orientation, domestic violence status, genetic information, gender identity, gender expression or perceived gender.

Any complaint of discrimination or harassment related to any of these protected bases should be reported to Sheila Johnson-Willis, the University's Chief Equal Opportunity & Title IX Officer for Faculty and Staff. She is responsible for coordinating compliance efforts under the various laws including Titles VI, VII, IX and Section 504 of the Rehabilitation Act. She can be contacted at Equal Opportunity, Inclusion, and Resolution Services, 621 Skytop Road, Suite 1001, Syracuse University, Syracuse, NY 13244-1120; or by email: equalopp@syr.edu; or by telephone: 315-443-4018.

Weekly Schedule (tentative)

Topic I: Introduction to Behavioral Public Policy

January 13 & 15

Required Readings:

- Thaler & Sunstein, Introduction and Chapter 1 (pp. 1-40)
- National Academies Report, Executive Summary and Chapter 1 (pp. 1-42)
- Madrian, B. C. (2014). Applying insights from behavioral economics to policy design. *Annual Review of Economics*, 6(1), 663-688.

Topic II: Evidence and Evaluation—Randomized Controlled Trials

January 20 & 22

Required Readings:

- Open Science Collaboration. (2015). Estimating the reproducibility of psychological science. *Science*, 349(6251), aac4716.
- Podcast on the [Voltage Effect](#). John List at UCLA Anderson School of Management

Topic III: System 1 and System 2 Thinking

January 27 & 29

Required Readings:

- Kahneman, Chapters 1-9 (pp. 19-105)
- Evans, J. St. B. T., & Stanovich, K. E. (2013). Dual-process theories of higher cognition: Advancing the debate. *Perspectives on Psychological Science*, 8(3), 223-241.

Topic IV: Heuristics and Biases I

February 3 & 5

Required Readings:

- Kahneman, Chapters 10-18 (pp. 109-195)
- Tversky, A., & Kahneman, D. (1974). Judgment under uncertainty: Heuristics and biases. *Science*, 185(4157), 1124-1131.
- Sunstein, C. R. (2006). The availability heuristic, intuitive cost-benefit analysis, and climate change. *Climatic change*, 77(1), 195-210

Topic V: Heuristics and Biases II

February 10 & 12

Required Readings:

- Kahneman, Chapters 19-24 (pp. 189-265)
- National Academies Report, Chapter 2: Behavioral Economics Foundations (pp. 43-62)
- Buehler, R., Griffin, D., & Peetz, J. (2010). The planning fallacy: Cognitive, motivational, and social origins. *Advances in Experimental Social Psychology*, 43, 1-62.

Topic VI: Choices, Utility, and Prospect Theory

February 17 & 19

Required Readings:

- Kahneman, Chapters 25-38 (pp. 269-418)
- Kahneman, D., & Tversky, A. (1979). Prospect theory: An analysis of decision under risk. *Econometrica*, 47(2), 263-291. <Skim it>
- Dolan, P., & Kahneman, D. (2008). Interpretations of utility and their implications for the valuation of health. *The Economic Journal*, 118(525), 215-234.

Topic VII: Nudging and Choice Architecture

February 24, 26 & March 3

Required Readings:

- Thaler & Sunstein, Chapters 2-13 (pp. 40-252)
- National Academies Report, Chapter 3: Applications of Behavioral Economics (pp. 43-94)
- Benartzi, S., Beshears, J., Milkman, K. L., Sunstein, C. R., Thaler, R. H., Shankar, M., Tucker-Ray, W., Congdon, W.J., & Galing, S. (2017). Should governments invest more in nudging? *Psychological Science*, 28(8), 1041-1055.
- Johnson, E. J., & Goldstein, D. (2003). Do defaults save lives? *Science*, 302(5649), 1338-1339.
- Sunstein, C. R. (2022). Sludge audits. *Behavioural Public Policy*, 6(4), 654-673.
- DellaVigna, S., & Linos, E. (2022). RCTs to scale: Comprehensive evidence from two nudge units. *Econometrica*, 90(1), 81-116.
- Thaler, R. H., & Benartzi, S. (2004). Save more tomorrow™: Using behavioral economics to increase employee saving. *Journal of Political Economy*, 112(S1), S164-S187.

In-Class Midterm Exam - Thursday, March 5
Covers Topics I-VII

Topic VIII: Policy Communication: Public Health

March 17 & 19

Required Readings:

- CDC Health Communication Playbook
- National Academies Report, Chapter 4: Behavioral Insights in Practice (pp. 95-116)
- CASE: Lopoo, Leonard M., Robert Bifulco, Hannah Patnaik, Ashraf Haque, Christine E. Ashby, and George Theoharis. 2025. "Salience in Email Recruiting." *Journal of Behavioral Public Administration*. DOI: <https://doi.org/10.30636/jbpa.81.365>
- CASE: Souders, Sarah, Leonard M. Lopoo, Sheena Mirpuri, Patrick Schwer, and Emily Cardon. 2024. "Decreasing Compliance Costs Using Behavioral Interventions: An Evaluation of Lead Testing in Chicago." *Journal of Behavioral Public Administration* 6(1). DOI: 10.30636/jbpa.61.349
- Witte, K., & Allen, M. (2000). A meta-analysis of fear appeals: Implications for effective public health campaigns. *Health Education & Behavior*, 27(5), 591-615.
- Roozenbeek, J., & van der Linden, S. (2022). How to combat health misinformation: A psychological approach. *Annual Review of Public Health*, 43, 577-596.

Messaging Campaign Due: Thursday, March 26 @ 3:30 pm

Topic IX: Empirical Applications: Education, Environment, Health, Retirement, & Taxes

March 24, 26, & 31

Required Readings:

- CASE: Allcott, H., & Rogers, T. (2014). The short-run and long-run effects of behavioral interventions: Experimental evidence from energy conservation. *American Economic Review*, 104(10), 3003-3037.
- CASE: Bettinger, E. P., Long, B. T., Oreopoulos, P., & Sanbonmatsu, L. (2012). The Role of Application Assistance and Information in College Decisions: Results from the H&R Block FAFSA Experiment. *The Quarterly Journal of Economics*, 127(3), 1205-1242.

- Beshears, J., Choi, J. J., Laibson, D., Madrian, B. C., & Milkman, K. L. (2015). The effect of providing peer information on retirement savings decisions. *The Journal of Finance*, 70(3), 1161-1201.
- Castleman, B. L., & Page, L. C. (2015). Summer nudging: Can personalized text messages increase college enrollment among low-income high school graduates? *Journal of Economic Behavior & Organization*, 115, 144-160.
- Chapman, G. B., Li, M., Colby, H., & Yoon, H. (2010). Opting in vs opting out of influenza vaccination. *JAMA*, 304(1), 43-44.
- CASE: Chetty, R., Looney, A., & Kroft, K. (2009). Salience and taxation: Theory and evidence. *American economic review*, 99(4), 1145-1177.
- CASE: Halpern SD, French B, Small DS, Saulsgiver K, Harhay MO, Audrain-McGovern J, Loewenstein G, Brennan TA, Asch DA, Volpp KG. (2015). Randomized Trial of Four Financial-Incentive Programs for Smoking Cessation. *N Engl J Med*. 2015;372(22):2108-2117.
- CASE: Madrian, B. C., & Shea, D. F. (2001). The power of suggestion: Inertia in 401(k) participation and savings behavior. *The Quarterly Journal of Economics*, 116(4), 1149-1187.
- CASE: Milkman, K. L., Beshears, J., Choi, J. J., Laibson, D., & Madrian, B. C. (2011). Using implementation intentions prompts to enhance influenza vaccination rates. *Proceedings of the National Academy of Sciences*, 108(26), 10415-10420.

Communication Assignment Due: Thursday, April 2 @ 3:30 pm

Topic X: Ethics and Criticisms of Behavioral Policy

April 2 & 7

Required Readings:

- Thaler & Sunstein, Chapter 15 (pp. 311-334)
- Sunstein, C. R. (2015). The ethics of nudging. *Yale Journal on Regulation*, 32(2), 413-450.

VOLCKER LECTURE (Mandatory Attendance)

Thursday, April 9, 4-5:30

Strasser Legacy Room, Eggers 220

Professor Alison Buttenheim, University of Pennsylvania

“Better, Sooner, Stronger: Chasing Behavioral Science through Design”

Team Project Presentations (Groups 1-3): Tuesday, April 14

NO CLASS APRIL 16

Team Project Presentations (Groups 4-6): Tuesday, April 21

NO CLASS APRIL 23

Team Project Report Due: Tuesday, April 28 @ 5 pm